Japan Technology: Hardware - Industrial Electronics: GLW 2Q: DC demand strong; valuation gap with Japanese peers to narrow

Ryo Harada
+81(3)4587-9865 | ryo.harada@gs.com
Goldman Sachs Japan Co., Ltd.

Hiroki Muramatsu
+81(3)4587-9872 |
hiroki.muramatsu@gs.com
Goldman Sachs Japan Co., Ltd.

Corning (Not Covered) held its 2QFY26 results briefing on July 28 (from 21:30 JST). 2Q companywide core sales were US$4,738 mn (Bloomberg consensus: US$4,644 mn), and core EPS was US$0.78 (vs. US$0.76). In the Optical Communications segment, which supplies optical fiber/cables, 2Q sales of US$2,072 mn (vs. BBG consensus of US$2,011 mn) and segment profits of US$438 mn (vs. consensus of US$403 mn) both beat expectations. In 2Q, while Enterprise Network sales were up 65% yoy, Carrier Networks sales were up just 1% yoy and down 9% qoq due to timing shifts in customer projects. However, Corning commented that it expects continued solid demand, supported by data center interconnect (DCI) and FTTH demand. The company also said its view on demand for photonics such as CPO/NPO, and scale-up demand, such as in-rack optical interconnects for AI servers, has not changed significantly since its Investor Day in May.

As of 10:48 AM local time, Corning's stock was trading down 19% from the previous day. While its data center optics-related business is strong, we think the share price decline owes to the Solar business falling into the red in 2Q on one-off expenses and weak 3Q sales guidance.

Near-term sentiment on AI-related stocks warrants caution as they have recently tended to fall despite strong results. However, **forward P/E multiples (LSEG basis) are down to 26X for Fujikura, 19X for Sumitomo Electric, and 22X for Furukawa Electric, versus 41X for Corning, and as such we look for eventual re-ratings for these coverage names.** In addition, **while we have heard concerns from market participants about competition with Chinese manufacturers, this is precisely why Japanese manufacturers have refrained from capacity expansion investments in commodity areas like optical fiber (where oversupply has previously been an issue) and instead focused on high-value-added cables and other products.** We believe that once the market calms down, **the time will come when these management decisions will be recognized.**

Key takeaways from Corning's results briefing

The following summarizes company commentary on the Optical Communications segment.

- 2Q sales: US$2,072 mn (Bloomberg consensus: US$2,011 mn), up 32% yoy.
- 2Q segment profits: US$438 mn (vs. consensus of US$403 mn), up 77% yoy.

- 2Q sales for the Enterprise Network subsegment were US$1,269 mn (vs. consensus of US$1,057 mn), up 65% yoy, while sales for the Carrier Network subsegment were US$803 mn (vs. consensus of US$939 mn), up 1% yoy.
- In Enterprise Networks, AI data center-related demand nearly doubled yoy. The company said generative AI-related demand is strong and that orders are accelerating further.
- Carrier Networks sales were down 9% qoq, but this was due to timing shifts in customer projects; for 1H26, sales were solid, up 17% yoy. The company said it expects mid-single-digit sales growth in the long term, driven by strong demand from data center interconnect (DCI) and fiber-to-the-home (FTTH).
- According to Corning, its major capacity expansion initiatives are based on long-term contracts with customers, proceeding with an appropriate sharing of investment risk and return. It indicated that it expects the number of long-term contracts to increase in the future.
- Regarding business opportunities in Photonics and Scale-up, the company said there has been no significant change in its view from the May Investor Day, and that it is preparing to capture demand related to the optical transition of next-generation scale-up networks.

Price Target Risks and Methodology – Fujikura
We are Buy rated. Our 12-month price target of ¥7,500 is based on an EV/EBITDA of 25.0X (FY3/28E; multiple based on the EV/EBITDA and EBITDA margin correlation across its domestic and global competitors). Downside risks: **Telecommunications**: A delay in benefits from hyperscaler investment, a prolonged restraint in telecom carrier investment, and competitors in ultra-high-density optical fiber cables catching up with Fujikura. **Electronics**: A greater-than-expected slowdown in the smartphone market and/or more intense competition. **Automotive products**: Automobile production volume undershooting our assumptions. **Companywide**: Forex swings.

Price Target Risks and Methodology – Furukawa Electric
Our 12-month target price is ¥7,200. We apply an EV/EBITDA multiple of 25.0X (FY3/28E, based on the correlation between EV/EBITDA and EBITDA growth rate for domestic and overseas competitors). We are Buy rated. Risks: **Communications solutions:** If sales expansion of high-margin optical products for data centers does not proceed as expected and there is no improvement in profits. If the profitability of the acquired Furukawa FITEL Optical Components (FFOC) deteriorates again due to factors such as changes in competitiveness. If generative AI data center investment slows for reasons such as delays in data center construction due to supply shortages of some essential products, or if investment in generative AI data centers starts to wane as project profitability deteriorates due to price hikes for component products. **Energy infrastructure:** If demand for both high-voltage and medium/low-voltage cables slows due to factors such as a slowdown in generative AI investment. If the company decides on capex for HVDC cables but fails to secure the expected orders from customers. **Electronics & automotive systems:** If auto production volume or sales of models supplied by the company do not grow as much as expected. If fluctuations in auto production volume are larger than expected and the company is unable to absorb fixed

costs through measures such as price revisions. If material prices surge more than expected and the company is unable to pass these on to customers. **Functional products:** If, in the copper foil business, sales expansion of high-function circuit foils does not proceed as planned and profitability improvement is not expected, if orders for thermal products for generative AI are not booked as sales for some reason or are delayed, or if the acquisition of new customers for semiconductor manufacturing tape does not progress as expected.

Price Target Risks and Methodology - Sumitomo Electric Industries
We are Buy rated. Our 12-month target price is ¥3,400. We apply a target EV/EBITDA multiple of 13.0X (based on FY3/28E, using an SOTP approach). Key downside risks: **Automotive segment:** Decline in automobile production volume; slower-than-expected pass-through of material procurement costs to selling prices. **Infocommunications segment:** Longer-than-expected inventory adjustments due to a slowdown in hyperscaler capex; catch-up by competitors in ultra-high density optical fiber cables. **Environment & energy segment:** Delays in new and replacement power infrastructure projects due to difficulties in procuring materials and securing workers; slower-than-expected earnings contributions from the Japanese government's clean energy strategy. **Industrial materials and other segments:** Slowdown in demand for cemented carbide tools, etc., due to a macroeconomic slowdown; increase in manufacturing costs for sintered parts, etc., due to rising energy prices. **Company-wide:** FX fluctuations; sustained high material prices.

Price Target Risks and Methodology - SWCC
Valuation methodology: We have a Buy rating. Our 12-month target price of ¥16,200 is based on an EV/EBITDA of 11.5X (FY3/28E, multiple based on the correlation between EV/EBITDA and EBITDA margin for global competitors).

Key downside risks: **Energy & infrastructure segment:** The balancing out of supply and demand for wires/cables and power equipment in Japan, resulting in lower selling prices; a lack of progress with the further leveling of construction work and improvement of personnel allocation efficiency, resulting in slower-than-expected profit margin improvement; an influx of foreign workers significantly alleviating the shortage of construction workers in Japan. **Communication & components segment:** Sharp declines in optical fiber cable selling prices due to a large supply of inexpensive products from China, India, and other countries, and profitability deteriorating as a result; home appliance sales in China and Japan falling short of expectations; acceleration in the trend toward a paperless society, resulting in a steeper-than-expected decline in sales of printer rollers. A slower-than-expected shift to EVs by the company's customers, leading to lower demand; significant declines in automobile production volume, including EVs; increases in prices of materials such as copper, with the company unable to pass these increases on to customers. **Company-wide:** The implementation of large-scale growth investments aimed at furthering overseas expansion in the electronic equipment & components and communication & industrial devices segments, with returns on these investments falling short of expectations and significantly impacting company-wide margins; yen appreciation.

Price Target Risks and Methodology - Anritsu
Our 12-month target price is ¥5,300, based on a target EV/EBITDA multiple of 17X on

FY3/28E (our target multiple is based on the correlation between EV/EBITDA and EBITDA margin for global competitors). We are Buy rated.

Risks: **Test and Measurement:** Demand for 5G applications has already cooled, and there is a risk that sales may not grow as expected, leading to a deterioration in profit margins. For the data center business, uncertainty due to US tariffs could lead to slower decision-making by customers, resulting in stagnating or weaker demand. Testing methods may change from 100% testing to sampling testing. **PQA:** Possible decline in domestic market share, or the failure of sales expansion to proceed as expected in regions where the company is accelerating business development, such as North America, Europe, and China. **Environmental Measurement:** The possibility that earnings in battery test equipment fail to grow as expected due to a slowdown in the BEV market. **Company-wide:** Disappointing returns from M&A and/or growth investment. An increase in the R&D expense ratio. Yen appreciation.

Disclosure Appendix

Reg AC

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Contributing Authors: Ryo Harada Goldman Sachs Japan Co., Ltd., Hiroki Muramatsu Goldman Sachs Japan Co., Ltd..

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Price target and rating history chart(s)

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Target price history table(s)

Sumitomo Electric Industries (5802.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	3,400	2,443
12-May-26	12,500	2,913
20-Apr-26	11,500	2,494
13-Mar-26	12,300	2,598
03-Feb-26	8,700	1,914
05-Jan-26	7,350	1,678
31-Oct-25	6,700	1,413
09-Oct-25	5,500	1,158
10-Sep-25	5,000	1,073
31-Jul-25	4,500	940
07-Jul-25	4,300	756
13-May-25	2,800	658
16-Apr-25	2,500	516
04-Feb-25	3,150	752
22-Jan-25	2,900	727
01-Nov-24	2,670	583
07-Oct-24	2,630	606
07-Aug-24	2,650	530
18-Jul-24	2,700	600
09-Apr-24	2,600	602
12-Mar-24	2,400	556
05-Feb-24	2,150	501
19-Dec-23	1,900	443
02-Nov-23	1,850	404
02-Aug-23	1,800	469

Fujikura (5803.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	7,500	5,072
18-Jun-26	7,600	4,461
14-May-26	7,100	6,355
20-Apr-26	7,000	5,529
13-Mar-26	31,000	4,420
09-Feb-26	27,000	3,659
05-Jan-26	23,400	3,074
07-Nov-25	22,700	3,403
09-Oct-25	18,800	2,798
10-Sep-25	15,200	2,272
07-Aug-25	13,000	1,918
07-Jul-25	9,400	1,235
13-May-25	6,600	957
16-Apr-25	6,700	761
10-Feb-25	8,400	1,113
22-Jan-25	7,600	1,157
07-Nov-24	7,200	968
07-Oct-24	7,000	831
02-Sep-24	5,100	736
08-Aug-24	5,200	423
18-Jul-24	4,800	518
13-May-24	3,100	474
06-May-24	3,200	463
18-Apr-24	2,800	444
09-Apr-24	2,700	422
24-Mar-24	2,420	358
12-Mar-24	2,300	316
08-Feb-24	1,580	210
19-Dec-23	1,520	174
08-Nov-23	1,420	192
17-Oct-23	1,510	200
10-Aug-23	1,520	191

Furukawa Electric (5801.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	7,200	3,674
12-May-26	76,000	5,043
20-Apr-26	53,000	4,307
30-Mar-26	37,000	3,095
13-Mar-26	34,000	3,069
09-Feb-26	23,000	1,750
05-Jan-26	10,300	1,054
10-Nov-25	10,000	946
09-Oct-25	10,700	986
10-Sep-25	9,200	925
07-Aug-25	8,100	907
07-Jul-25	7,900	697
22-May-25	4,600	624
16-Apr-25	3,600	418
03-Mar-25	6,100	623
22-Jan-25	6,700	792
07-Nov-24	3,850	403
07-Oct-24	3,400	362
13-May-24	3,300	345
18-Apr-24	3,000	345
09-Apr-24	2,900	333
12-Mar-24	2,700	292

SWCC (5805.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	16,200	11,910
14-May-26	17,500	16,990
20-Apr-26	17,300	14,090
13-Mar-26	17,200	14,230
05-Jan-26	11,900	10,960
12-Nov-25	10,700	9,450
09-Oct-25	9,200	7,880
10-Sep-25	9,100	8,300
08-Aug-25	8,900	7,920
07-Jul-25	9,100	7,800
13-May-25	8,600	7,160
16-Apr-25	8,400	5,850
07-Feb-25	9,700	7,310
20-Jan-25	9,600	7,080

Furukawa Electric (5801.T)

Date of report	Target price (¥)	Closing price (¥)
08-Feb-24	2,220	277
24-Jan-24	2,260	253
19-Dec-23	1,990	217
09-Nov-23	1,930	232
17-Oct-23	2,250	228
03-Aug-23	2,360	260

SWCC (5805.T)

Date of report	Target price (¥)	Closing price (¥)

Anritsu (6754.T)

Date of report	Target price (¥)	Closing price (¥)
07-Jul-26	5,300	4,056
27-Apr-26	4,700	3,755
20-Apr-26	4,000	3,466
13-Mar-26	3,500	2,891
29-Jan-26	2,700	2,369
05-Jan-26	2,600	2,288
30-Oct-25	2,400	1,887
11-Sep-25	2,300	1,745

Price targets shown in table(s) are unadjusted for corporate actions.

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